Reforming the FDI Regime

India had a very myopic view of FDI until 1991. Despite being hugely deficient in technology and capital, the country had virtually shut its doors to foreign investment in the first forty years after Independence. The liberalization of FDI began with industrial and trade liberalization in 1991.

In the past thirty years, successive governments have opened the door increasingly wider to FDI. By 2020, India had adopted a liberal and open FDI policy.

FDI has been defined to mean ‘investment through capital investments by a person resident outside India in an unlisted Indian company’ or in 10 per cent or more of post-issue paid-up capital on a fully diluted basis of a listed Indian company. Any investment in an unlisted Indian company is FDI as is investment in excess of 10 per cent of equity capital in a listed company. However, if an existing investment of 10 per cent or more of the equity capital were to fall to a level below 10 per cent, the investment would continue to be treated as FDI.

The 10 per cent rule is a significant feature of the Indian system. Investment lower than 10 per cent has been deliberately considered not to confer significant ownership stake or decision-making powers to be considered a direct investment. Such smaller investments are financial investments and considered portfolio investments.

India’s FDI regime liberalization has proceeded essentially based on four questions. First, is any sector ‘prohibited’ for FDI? Second, how much ownership can be taken by foreigners? 100 per cent ownership by non-residents is most liberal. There are shades of liberalization depending upon how much less than 100 per cent can be taken by non-residents. Third, how easily can foreign investment be brought in? There are primarily two routes: automatic (requires no prior approval) and government approval (one of the twelve departments among whom sectors have been assigned for granting